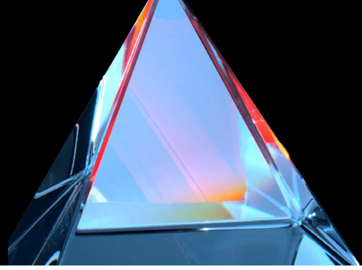


HSBC Asset Management

# HSBC Global Infrastructure Equity Fund

Fund report | 30 April 2025

## About the Fund

The HSBC Global Infrastructure Equity Fund is an actively managed portfolio of 30-45 global infrastructure stocks that aims to provide long term total return while maintaining a focus on sustainability, environmental, social and governance (ESG) factors. The Fund is managed by a London and Sydney-based investment team that is part of the worldwide HSBC network.

## Fund Facts

**Fund Manager**
HSBC Global Asset Management (UK) Limited.

**Responsible Entity/Distributor**
Copia Investment Partners

**Inception Date (Strategy)**
31 January 2024 (31 July 2010)

**Objective**
To provide long-term capital growth and income, and outperform its benchmark by 2% p.a. (after fees) over 5 years.

**Benchmark**
Dow Jones Brookfield Global Infrastructure Index (Hedged to AUD)

**Currency**
AUD Hedged

**Investment Time Frame**
At least 5 years

**Number of Stocks**
30-45

**Distributions**
Quarterly

**Minimum Investment Amount**
Initial: $20,000
Additional: $5,000

**Management Fee**
0.90%p.a. of the NAV of the Fund

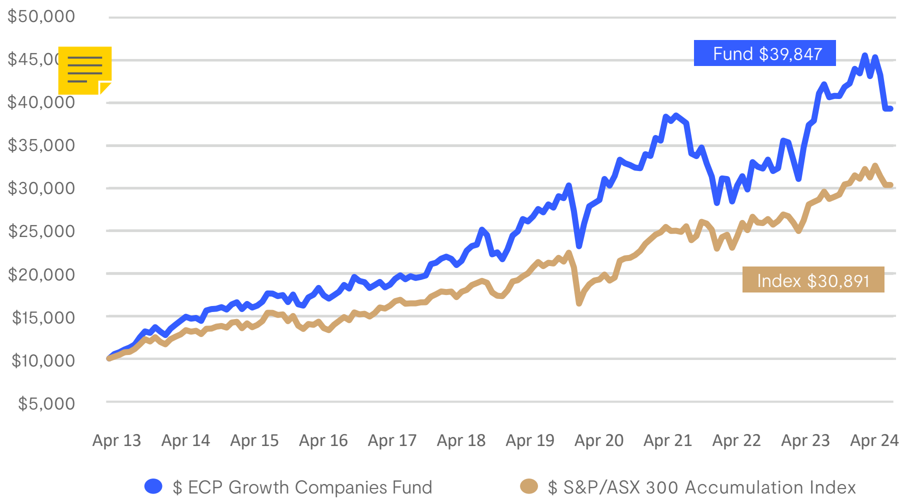
**Performance Fee**
Nil

**Fund Rating**
Zenith Recommended

| Performance (%) at month end | 1 mth | 3 mth | 6 mth | 1 yr | SI (p.a.)* |
|---|---|---|---|---|---|
| HSBC Global Infrastructure Equity Fund | 0.56 | 5.32 | 4.70 | 17.10 | 16.86 |
| Dow Jones Brookfield Global Infrastructure Index+ | 1.24 | 7.67 | 7.85 | 23.81 | 19.25 |
| Outperformance | -0.68 | -2.35 | -3.15 | -6.71 | -2.39 |

Past performance is not a reliable indicator of future performance. The total return performance figures quoted are historical, calculated using end-of month prices and do not allow for the effects of income tax or inflation. Total returns assume the reinvestment of all distributions. The performance is quoted net of all fees and expenses. The indices do not incur these costs.
* SI (p.a.) annualised total return since inception (SI) hedged for performance calculation purposes to 31 January 2025.
+ Hedged to AUD

## Performance comparison of $10,000 since inception




## Sector Allocation

| | |
|---|---|
| Utilities | 34% |
| Energy | 30% |
| Industrials | 16% |
| Communication Services | 9% |
| Property Trusts | 10% |
| Cash | 1% |

## Geographic Allocation

| | |
|---|---|
| United States | 47% |
| Canada | 15% |
| United Kingdom | 10% |
| Mainland China | 7% |
| France | 8% |
| Spain | 4% |
| Other Locations | 9% |

## Top 10 holdings

| Company | Weight % |
|---|---|
| ResMed Inc | 5.74 |
| Block Inc | 5.57 |
| GQG Partners Inc | 5.07 |
| Lovisa Holdings Ltd | 4.82 |
| James Hardie Industries | 4.70 |
| IDP Education Ltd | 4.51 |
| Corporate Travel Management Ltd | 4.10 |
| SEEK Ltd | 4.08 |
| CSL Ltd | 4.08 |
| Domino's Pizza Enterprises Ltd | 4.04 |

| Top 5 Contributors |
|---|
| Cellnex Telecom SA |
| Pennon Group PLC |
| Eiffage SA |
| Williams Cos Inc/The |
| RAI Way SpA |

| Top 5 Detractors |
|---|
| Eversource Energy |
| Pembina Pipeline Corp |
| Koninklijke Vopak NV |
| Edison International |
| Plains GP Holdings LP |

## Fund Commentary

Infrastructure is at the beginning of a multi-decade investment cycle, due to secular trends such as energy transition and digitalisation. The investment team believe that the growth of listed infrastructure will continue to be supported by these strong secular tailwinds and its underlying characteristics, such as resilient cash flows generating potentially high distribution levels that are very attractive in this market environment.

## Portfolio Strategy and Outlook

Infrastructure is at the beginning of a multi-decade investment cycle, due to secular trends such as energy transition and digitalisation. The investment team believe that the growth of listed infrastructure will continue to be supported by these strong secular tailwinds and its underlying characteristics, such as resilient cash flows generating potentially high distribution levels that are very attractive in this market environment.

The Fund maintained an overweight position to the telecommunications sector. As the investment team are getting close to the end of initial 5G coverage rollout phase, network technology and fast device evolution will continue driving strong data consumption, which in turn require further network densification in the near future. Additionally, while the AI hype has been present in the data center industry for some time, there are increasing concerns on the capacity oversupply risk in the industry. However, the investment team see little oversupply risk in the Tier-1 markets where the listed players operate in. Supply constraints and energy challenges will persist in the near term, creating a tight demand-supply dynamic that provides strong tailwinds for the sector.

The investment team also has an overweight position to the industrials sector. The team expect wealth effects, new transport technologies and continued urbanisation to support long term growth in demand for mobility. Consumers continue to prioritise spending on experiences vs. goods, and search for value (combined business/leisure trips or ‘shoulder season’ trips). Domestic travel trends may be more robust than international travel trends in the coming months, although duty free shopping could regain some relevance vs. high street, supporting non-regulated airport revenues.

The investment team have an underweight position to the utilities sector due to relative valuations. Policy and regulation, generally, continues to be supportive though emerging macro-economic pressures need to be monitored for their impact on the investment environment and affordability for customers.

The investment team has reduced the underweight position to the energy sector. The shift towards growth mindset, driven by strong expectations for gas demand related to power generation and data centers has been reflected by the current valuations seen in the sector.

## Features of global listed infrastructure

**Essential assets**
Assets that are the backbone of society, providing essential and valuable services for the stability and growth of the economy

**Sustainable earnings**
Assets that can generate inflation-linked, long-dated and sustainable earnings growth through economic cycles

**Government backing**
Infrastructure spending has been heavily featured in recovery programs as governments aim for GDP multiplier effects

**Long cycle**
A multi-decade investment cycle, supported by trends such as urbanisation, energy transition and digitalisation


## Contact Copia

1800 442 129 clientservices@copiapartners.com.au copiapartners.com.au

| | | | |
|---|---|---|---|
| John Clothier | General Manager, Distribution | +61 408 488 549 | jclothier@copiapartners.com.au |
| Mani Papakonstantinos | VIC/WA, Distribution Manager | +61 439 207 869 | epapakonstantinos@copiapartners.com.au |
| Sam Harris | NSW/QLD, Distribution Manager | +61 429 982 159 | sharris@copiapartners.com.au |
| Chris Barnett | NSW, Distribution Manager | +61 413 763 927 | cbarnett@copiapartners.com.au |
| Adam Tweedale | VIC/TAS, Distribuiton Manager | +61 425 804 727 | atweedale@copiapartners.com.au |
| Tony Harte | QLD, Distribution Manager | +61 407 708 109 | tharte@copiapartners.com.au |